



REDEFINING
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Commercial Strategy: Defense Demand Drivers

U.S. Navy & U.S. Coast Guard vessel MRO - market sizing (TAM / SAM)

April 2026

Overview

Context

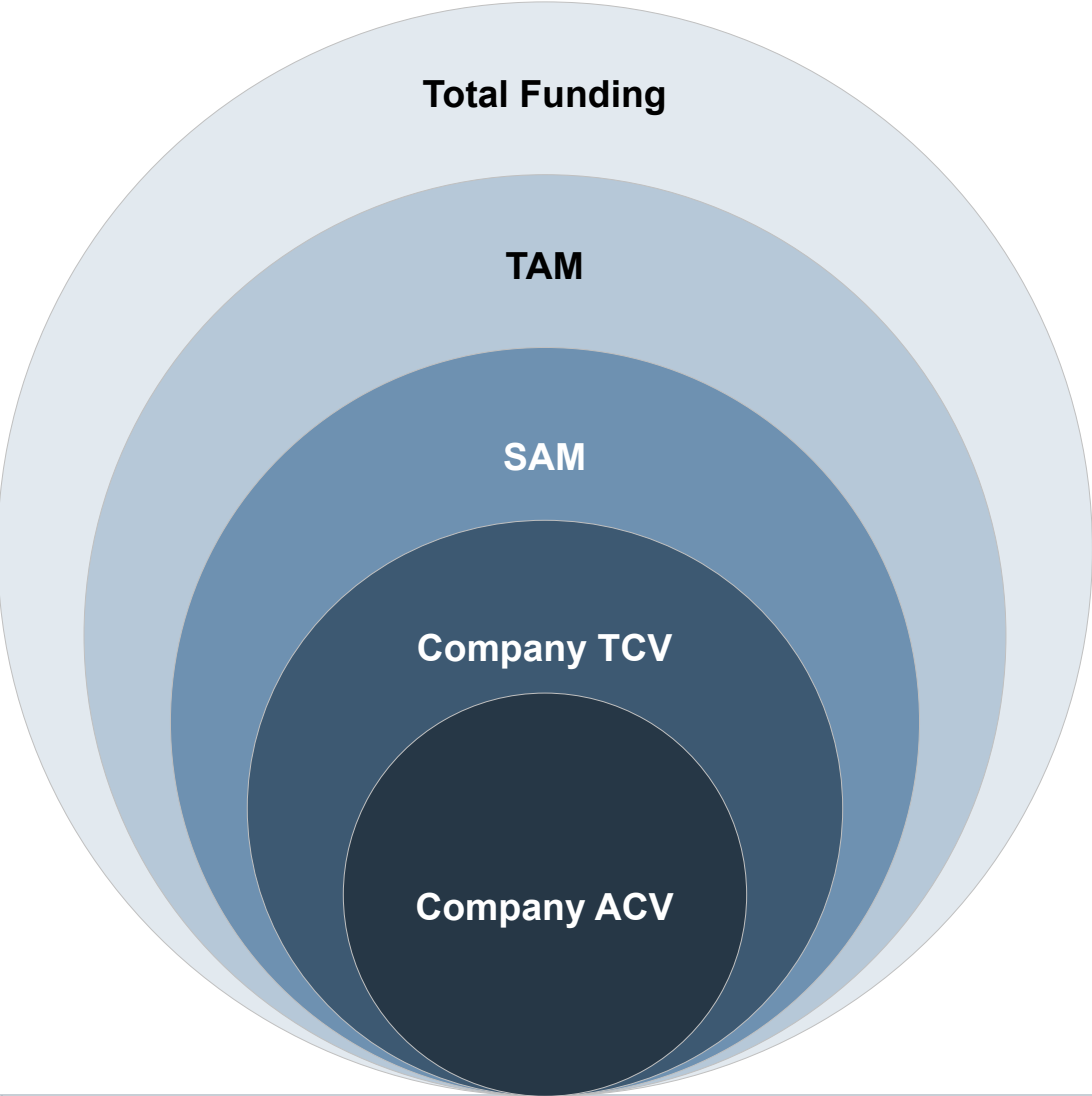
- These materials provide foundational analysis to inform key decisions at Saronic:
 - The type of MRO defense work to conduct at Saronic
 - How the Gulf Coast and California candidate sites sit relative to the existing USN and USCG MRO footprint

Objectives of this document

- Size and decompose the FY2025 USN and USCG MRO contracting market by work segment, vessel category, prime contractor, RMC geography, and funding appropriation
- (Ongoing effort) Size volume and average contract value for priority segments
- (Ongoing effort) Map USG industrial-base funding and path-to-access
- (Ongoing effort) Assess competitor archetypes, positioning, and capability requirements
- (Ongoing effort) Project Saronic financial outlook and required USG investment
- (Ongoing effort) Deliver scorecard summary and sequenced path-to-market

Answers shown are preliminary; fidelity and insights will increase with further analysis, additional data, and expert input

Definitions | Sizing breaks the MRO market down into five levels

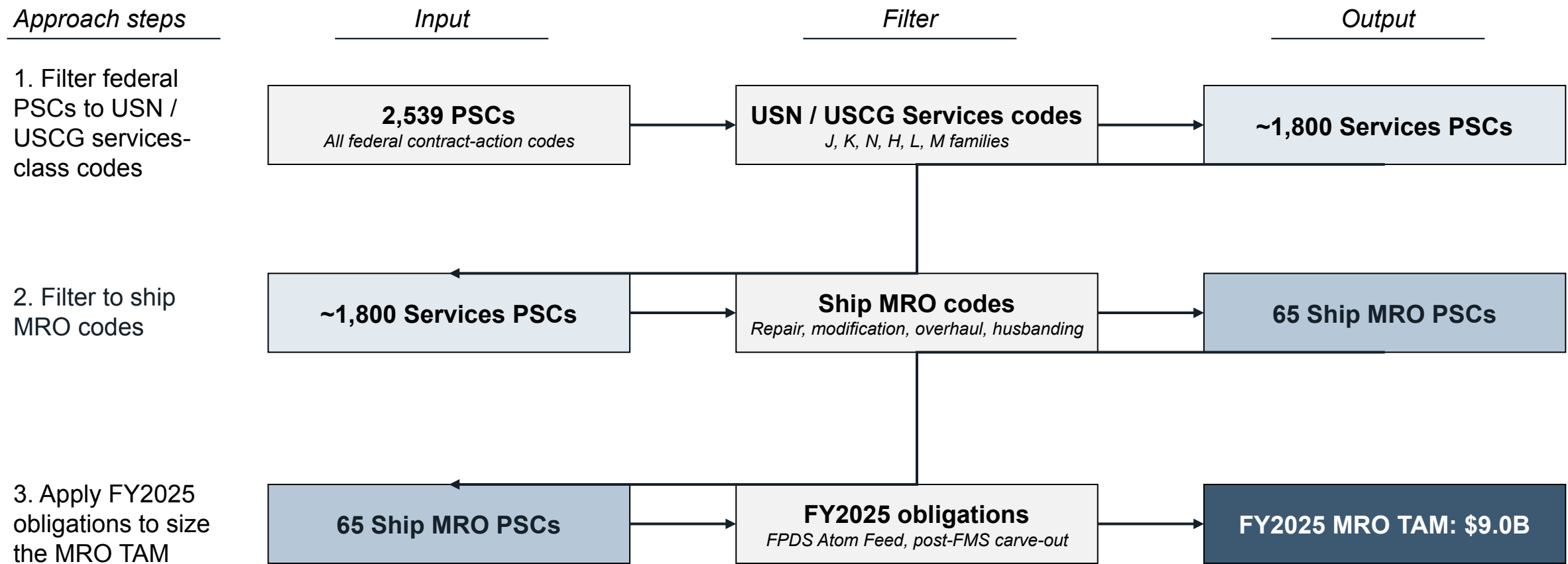


Level	Definition
Total Funding	All Service-PSC code award spending for US Navy and US Coast Guard in FY2025
Total Addressable Market (TAM)	Funding for MRO-type service codes
Serviceable Addressable Market (SAM)	Depot Ship Repair spend on Marauder-type platforms
Company TCV	Share of SAM that Saronic can likely capture
Company ACV	Portion of TCV exercised through Growth and Programs action

Future effort



Bottom-Up Methodology | Filtering FPDS contract-award data from 2,539 federal PSCs down to 65 ship-MRO services codes sizes the FY2025 Navy and Coast Guard MRO contracting TAM at \$9.0B



Source: FPDS FY2025 contract obligations, U.S. Navy and U.S. Coast Guard (65 ship-MRO PSCs). Data as of April 2026.

Vessel Taxonomy | MRO TAM scope covers every SECNAV and USCG hull category

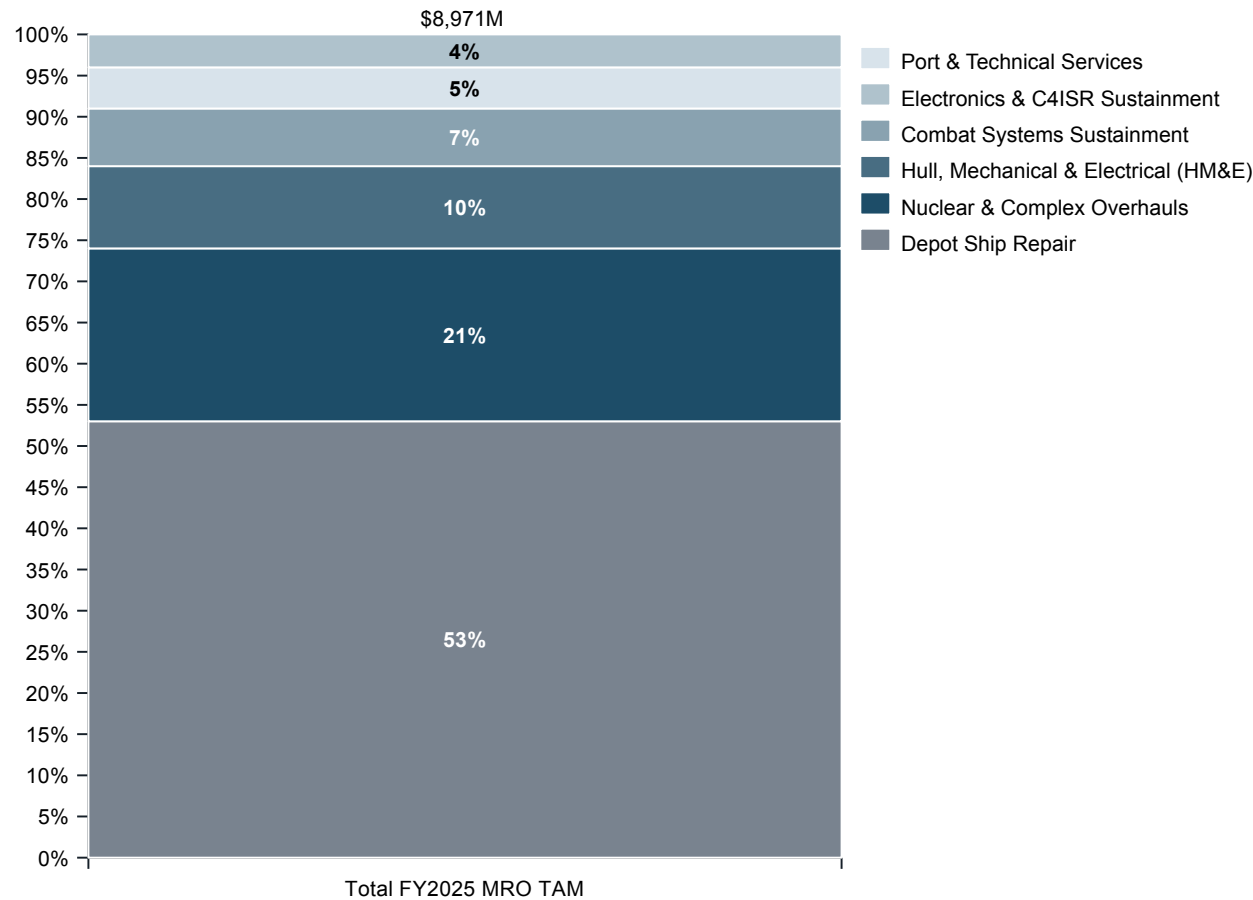
U.S. Navy and Coast Guard Vessel Taxonomy

	US Navy (Definitions IAW SECNAVINST 5030.8D 28JUN22)					US Coast Guard	
	Combatant Ships	Auxiliary Ships	Combatant Crafts	Unmanned Maritime Platforms	Support Crafts	Cutters	Boats
	Warships: Any commissioned ship built or armed for naval combat. Other Combatants: Ships with the capability to contribute directly to Navy warfighting or directly to other combatant operations and support missions.	Any naval ship designed to operate in the open ocean in a variety of sea states to provide indirect support to combatant forces or services to shore-based establishments and infrastructure.	Smaller vessels designed to meet various combat-related mission roles, including amphibious warfare, insertion, patrol, overwatch and enemy denial-of-use, and mobility of riverine and littoral areas. Combatant craft are not part of the battle force inventory.	Unmanned maritime vessels and vehicles are platforms designed to operate remotely, independently or integrated with manned platforms. Certain unmanned maritime vehicles may, in the future, be part of the battle force inventory	Support craft are noncommissioned vessels and watercraft designed to provide support for naval operations or shore-based establishments and are not part of the battle force inventory.	Any commissioned vessel 65' in length or greater, with accommodations for a crew to live aboard.	Any vessel under 65' in length without a permanently assigned crew.
Definition	Warship: • Aircraft Carriers (CVN) • Surface Combatants (CG / DDG / FFG / LCS) • Submarines (SSN / SSBN / SSGN) • Amphibious Warfare Ships (LHA / LHD / LPD / LSD) Other Combatant: • Mine Warfare (MCM) • Combat Logistics Ships (AO / AOE / AOL / AKE) • Command Ships (LCC) • Material Support Ships (AS) • Surveillance Ships (AGOS) • Salvage Ships & Fleet Ocean Tugs (ARS / ATF / ATS) • Expeditionary & Seabasing Ships (EPF / ESB / ESD / LSM)	• Crane Ship (ACS) • General Auxiliary (AG) • Research, Survey & Instrumentation Ships (AGM / AGOR / AGS) • Hospital Ship (AH) • Cargo & Vehicle Cargo Ships (AK / AKR) • Transport Oiler (AOT) • Cable Repairing Ship (ARC) • Aviation Logistics Support Ship (AVB) • High Speed Transport (HST) • Submarine Escort Ship (AGSE)	• Patrol Combatant (PC) • Amphibious Warfare Craft (LCAC / LCU) • Patrol Boats (36PB / 64PB / 87PB) • Special Warfare Craft (DSB / CCA / CCM / CCH / NSW RHIB / SDV / SWCS / SSC)	• Unmanned Surface Vehicles (MUSV / SUSV / VSUSV) • Unmanned Undersea Vehicles (XLUUV / LUUV / MUUV / SUUV)	• Dry Docks (AFDL / ARDM / AFDM) • Harbor Tugs (YT / YTB / YTL) • Lighters & Barges (YC / YCV / YFN / YFNX / YFNB / YON / YOS / YWN / YWO) • Other Craft, Self-Propelled (FSF / SBX / YFB / YP / YSD / YDT / YTT) • Other Craft, Non-Self-Propelled (APL / YD / YFND / YFP / YR / YRB / YRBM / YRDH / YRDM / IX) • Sealift Support Craft (INLS / LCM 8 / LARC V / MPF UB / OPDS UB) • Ships Boats (5MRB / 7MRB / 11MRB) • Shore-Based Harbor Security Boats (27HS / 28HS / 32HS / 33HS / 11MHS / 35HS / 36HS)	• Icebreakers, Oceangoing (WAGB) • Icebreakers, Great Lakes (WLBB) • National Security Cutters (WMSL) • High Endurance Cutters (WHEC) • Medium Endurance Cutters (WMEC) • Offshore Patrol Cutter (WMSM) • Fast Response Cutters (WPC) • Patrol Boats (WPB) • Seagoing Buoy Tenders (WLB) • Coastal Buoy Tenders (WLM) • Inland Construction Tenders (WLIC) • Ice Breaking Tugs (WTGB) • River Buoy Tenders (WLR) • Inland Buoy Tenders (WLI) • Small Harbor Tugs (WYTL) • Barque Eagle (WIX)	• Response Boats (MLB / RB-M / TPSB / RB-S II / UTM / UTL) • Aids to Navigation Boats (ANB / BUSL / TANB / AB-S / AB-SKF) • Cutter Boats (CB-LRI / CB-OTH / ASB/LC / MSB / CB-L / CB-ATON / CB-M / CB-S / UTL) • Special Purpose Craft (SPC-SV / SPC-TTB / SPC-TB / SPC-LE / SPC-BTD / SPC-LEO / SPC-SW / SPC-IRT / SKF-ICE / SKF) • Training Craft (CT-64 / SB)

Military Sealift Command (MSC) vessels sit across Combatant Ships and Auxiliary Ships

MRO Work Segments | Depot ship repair at ~53% and nuclear and complex overhauls at ~21% together captured ~75% of FY2025 MRO TAM

FY2025 MRO Bottom-Up TAM by Work Segment (\$M)

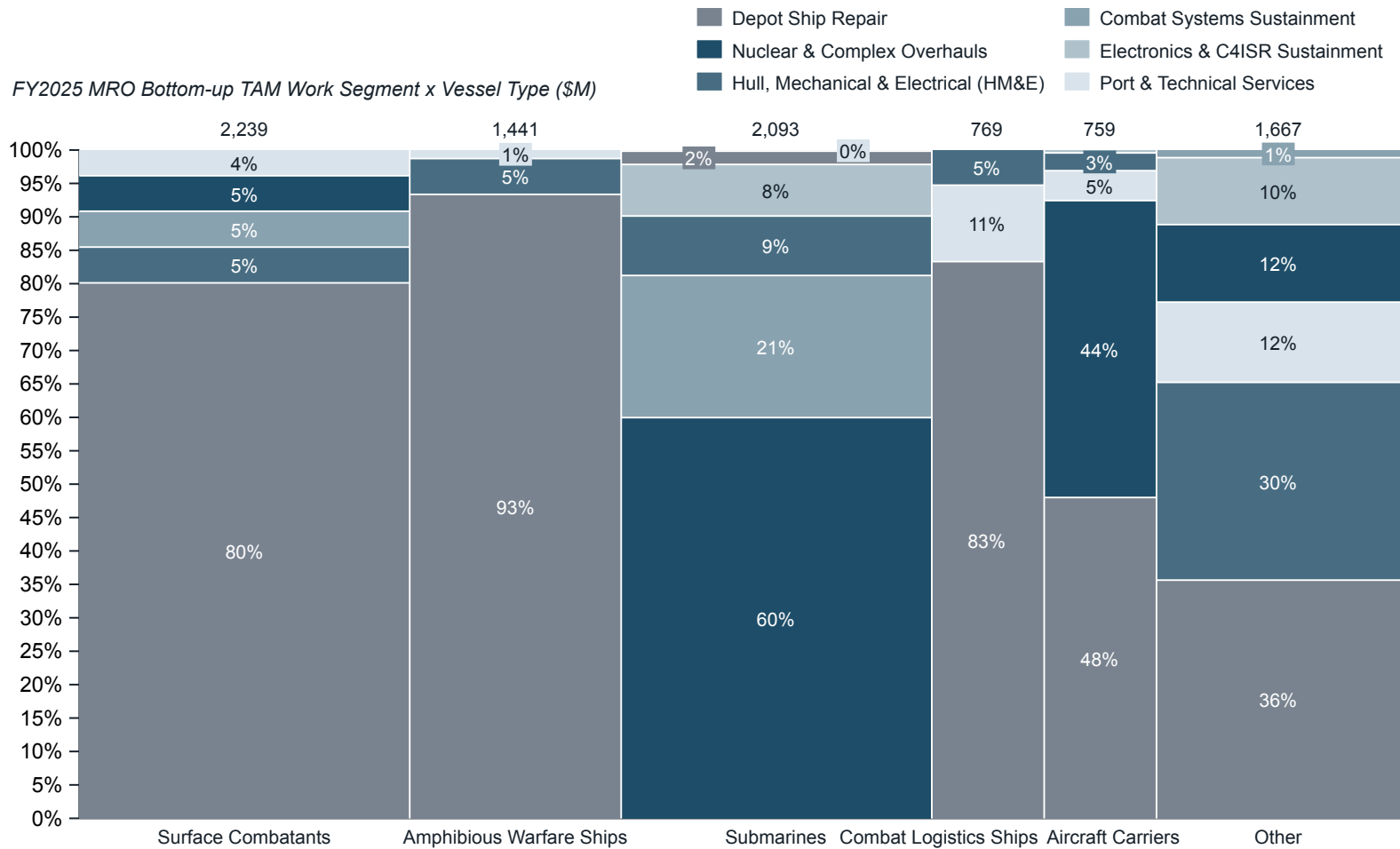


Work Segment	Coverage
Depot Ship Repair	Whole-ship maintenance availabilities at Pacific and Atlantic Regional Maintenance Centers, awarded through MAC-MO IDIQ task orders.
Nuclear & Complex Overhauls	PSC 1905 embedded MRO: engineered overhauls, refueling and complex overhauls (RCOH), and inactivations at SUPSHIP yards (Newport News, GDEB); distinct from J998/J999 depot repair.
Hull, Mechanical & Electrical (HM&E)	Propulsion accessories, pumps, valves, piping, HVAC, diesel engines, and ship structural systems.
Combat Systems Sustainment	Weapons, fire control, VLS, guided missiles (including Trident II sustainment on Ohio-class SSBNs), and aircraft launch and arresting equipment.
Electronics & C4ISR Sustainment	Afloat C4ISR: radar, sonar, radio and network systems, navigation, alarms, and electrical signal equipment.
Port & Technical Services	Quality control, testing and inspection. OEM technical representation. Husbanding (fuel, transport, port visits). Shipyard operations support.

Note: Nuclear & Complex Overhauls includes embedded MRO on shipbuilding contracts at SUPSHIP yards (HII Newport News, Fluor Marine, Bechtel), distinct from J998 / J999 depot repair. Source: FPDS FY2025 contract obligations, U.S. Navy and U.S. Coast Guard. Data as of April 2026.



TAM Composition | Depot ship repair and nuclear and complex overhauls drove ~74% of the \$9.0B FY2025 MRO TAM, led by DDG availabilities and SSN / CVN overhauls



Segment composition by hull

Depot Ship Repair
DDG 25% (\$1.2B) and LPD 13% (\$613M) lead; T-AO, CVN, LSD, LCS each 6-7%. Availabilities at SWRMC and MARMC.

Nuclear & Complex Overhauls
SSN 66% (\$1,255M) and CVN 18% (\$337M) drive the segment; DDG and LCS trace. Submarine refueling overhauls at GDEB; CVN RCOH at HII Newport News.

HM&E
DDG 6%; LCS, LPD, T-AO, CVN at 2-3% each. Propulsion, pumps, valves, HVAC, ship structural systems.

Combat Systems
SSBN 55% (\$319M). Trident II and VLS sustainment on Ohio-class SSBNs.

Port and Technical
T-AO, DDG, T-AKE, CVN each 8-10%; ESB 4%. Husbanding, QC and testing, OEM tech reps.

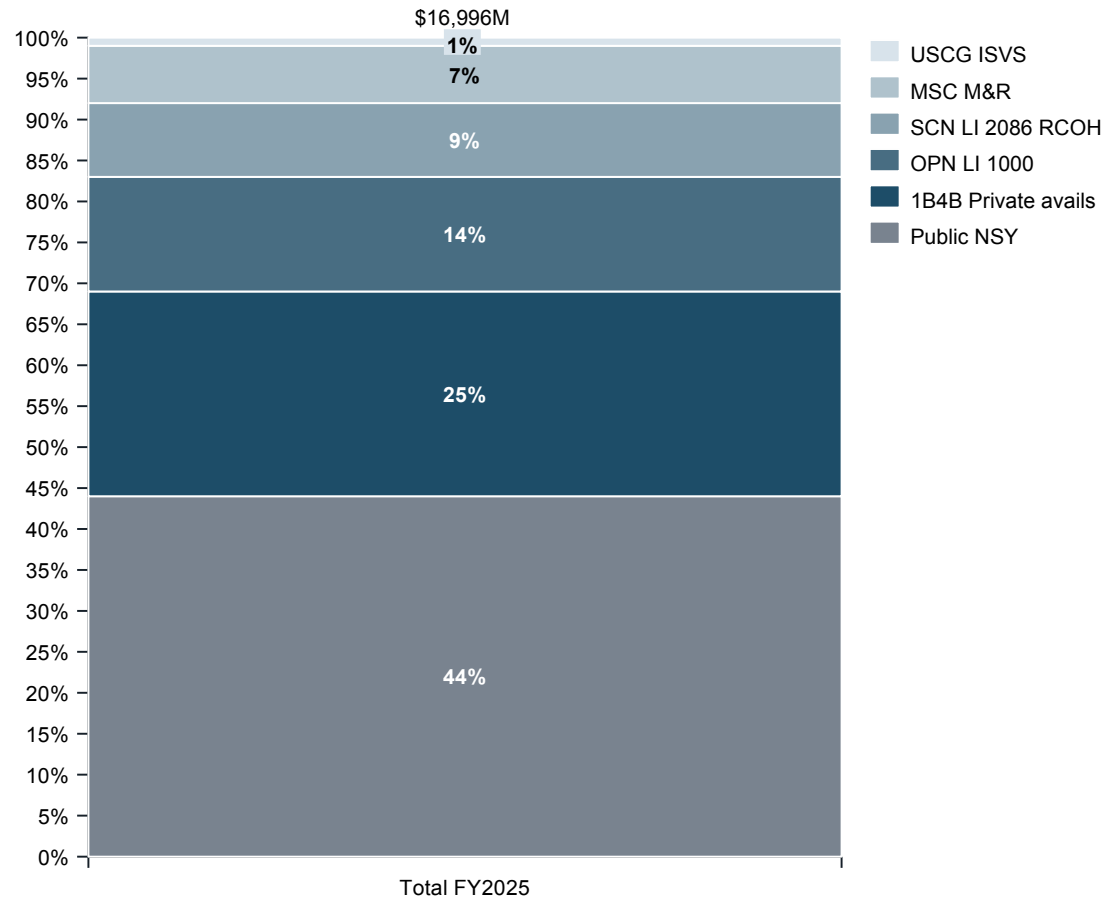
Electronics & C4ISR
SSBN 13% (\$42M) Trident II support; CVN, SSN, DDG trace.

Note: (Uncl) columns on HM&E, Electronics, and Combat Systems reflect equipment-maintenance contracts that reference components rather than specific hulls. Nuclear & Complex Overhauls covers SSN, CVN, and surface combatants, with ~10% residual unclassified. Source: FPDS FY2025 contract obligations, U.S. Navy and U.S. Coast Guard. Data as of April 2026.



Top-Down Composition | The \$17.0B budget-anchored MRO decomposes into Public NSY (\$7.49B, 44%), OMN 1B4B private availabilities (\$4.28B, 25%), and non-1B4B anchors (\$5.23B, 31%)

FY2025 MRO Top-Down TAM by Budget Source (\$M)

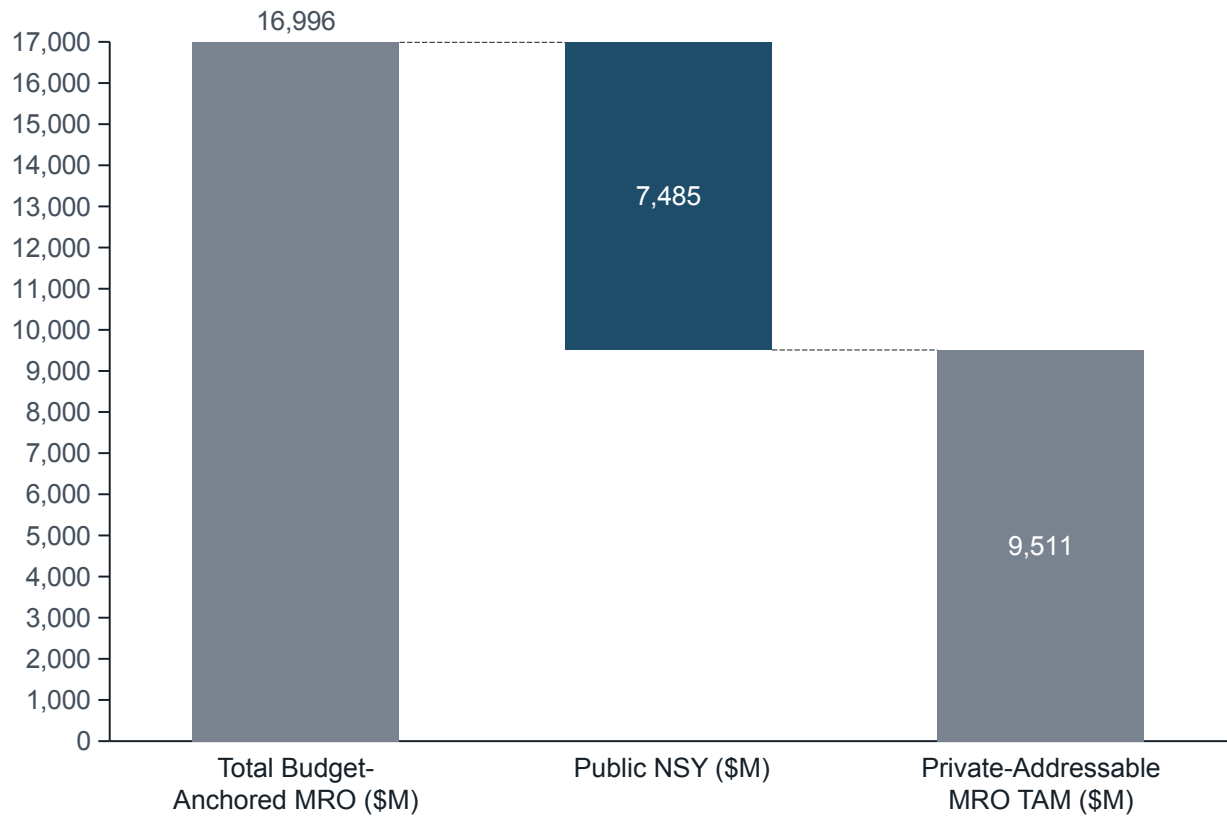


Category	FY2025 (\$M)	PB26 PDF Source
OMN 1B4B Total	11,764	OMN OP-5, p.157
Private avail subtotal	4,279	
IL: Non-depot / Intermediate Maint	1,429	
ORATA: Misc Restricted/Trade Avail	990	
CM: Continuous Maintenance (CMAV)	663	
SRA: Selected Restricted Avail	384	
PIA: Planned Incremental Avail	322	
OH: Overhauls	250	
ERATA: Emergent Repair	136	
SIA: Surface Incremental Avail	64	
SCO: Service Craft Overhauls	23	
CIA: Carrier Incremental Avail	16	
PMA: Planned Maintenance Avail	0	
Public NSY (4 yards) subtotal	7,485	
OPN LI 1000: Ship Maint, Repair and Mod	2,392	OPN BA-1 P-40, p.521
MSC M and R (1B1B FY2025 transfer)	1,240	OMN OP-5, p.129
SCN LI 2086 CVN RCOH (HII NNS)	1,480	SCN P-40, p.175
USCG ISVS (PC and I floor)	120	USCG Justification, p.6
MRO Total (Top-Down Approach)	16,996	

Note: Indentation in column 1 marks rollup hierarchy. Sum the level-0 rows (no indent) to reach the \$16,996M grand total; the indented private-avail leaves and subtotals are children of OMN 1B4B Total and must not be added again. CMAV (\$663M FY2025) called out per industry-side request. MSC FY2025 M and R executes within 1B1B but transfers to 1B4B in FY2026 (\$1.58B). Source: PB26 OMN OP-5 (p.157, MSC p.129); PB26 SCN P-40 LI 2086 (p.175); PB26 OPN BA-1 P-40 LI 1000 (p.521); PB26 USCG Justification (p.6). Data as of April 2026.

Top-Down Funnel | The PB26 budget anchors \$17.0B of FY2025 USN/USCG MRO spend; stripping the \$7.49B Public NSY federal-civilian floor leaves \$9.5B of private-addressable MRO TAM.

FY2025 MRO Top-Down Funnel to TAM (\$M)



\$17.0B input pool

- OMN 1B4B: \$11.76B
- OPN LI 1000: \$2.39B
- SCN LI 2086 CVN RCOH: \$1.48B
- MSC M&R: \$1.24B
- USCG ISVS: \$0.12B

\$7.49B Public NSY (44% of input)

- Federal civilian labor at four public yards: Norfolk, Portsmouth, Puget Sound, Pearl Harbor
- Executed in-house, structurally FPDS-invisible

\$9.5B private-addressable residual

- \$4.28B OMN 1B4B private availabilities
- \$5.23B non-1B4B anchors (OPN, SCN, MSC, USCG)

\$9.5B FY2025 top-down MRO TAM

- USN/USCG private-addressable scope
- Reconciles to bottom-up FPDS on slide 10

Source: PB26 OMN OP-5 Exhibit 1B4B Ship Maintenance (p.157, MSC p.129); PB26 OPN BA-1 P-40 LI 1000 (p.521); PB26 SCN P-40 LI 2086 CVN RCOH (p.175); PB26 USCG Justification ISVS PC and I (p.6). Public NSY (\$7.49B) reflects federal civilian workforce at the four public yards, FPDS-invisible by construction. Each anchor source-pinned to a specific budget-book PDF page. Data as of April 2026.



Reconciliation Bridge | Top-down (\$17.0B) and bottom-up (\$9.0B) reconcile across 7 bridge components, with Public Naval Shipyard labor (\$7.49B) the structural FPDS-invisible gap

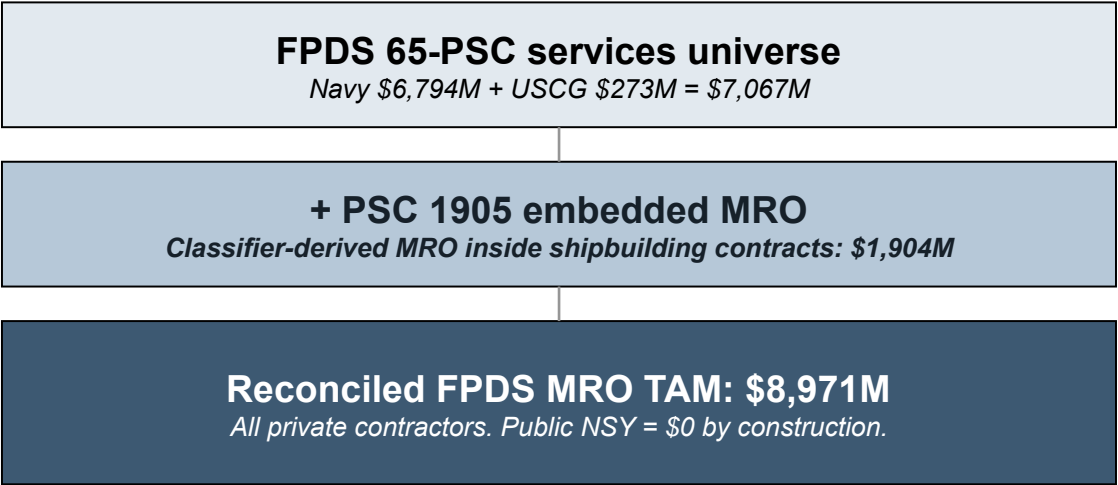
	Bridge Component	Top-down (\$M)	Bottom-up (\$M)	Gap (TD-BU)	Explanation
1	Navy private 1B4B (avail subtotal)	4,279	3,493	+786	Primary recon test (plan section 6.5). FY2025 PB26 forecast vs FPDS actual obligations
2	Navy Public NSY (4 yards)	7,485	0	+7,485	STRUCTURAL: federal civilian workforce, FPDS-invisible by construction
3	OPN LI 1000 Ship Maint Repair and Mod	2,392	(in PSCs)	~+1,500	NEW source-pinned. Modernization side of avails, separate appropriation from OMN
4	MSC M and R (1B1B FY2025 to 1B4B FY2026)	1,240	694	+546	MSC HQ contracting flow. Reconciles within plus or minus 15%
5	SCN CVN RCOH (LI 2086)	1,480	2,057	-577	Multi-year incremental funding vs single-FY FPDS obligation. PSC 1905 sees more
6	USCG cutter MRO	120	273	-153	TD anchor (ISVS PC and I floor) is known low. FPDS sees actual cutter awards
7	Other (RDT and E-DW Strategic, AF/Army cross-svc, etc.)	n/a	~1,520	-1,520	BU captures Strategic Systems (Draper Trident), AF/Army flows. Not in OP-5/MSC/SCN/USCG anchors
	Total	16,996	8,971	+8,025	Public NSY \$7,485M + Private TD \$9,511M vs BU \$8,971M = TD private +\$540M (~6%)

Source: workbook_build TAM Bridge sheet (corrected 2026-04-27); plan section 2.3 dual-narrative reconciliation. Top-down components fully source-pinned to budget-book line items after OPN LI 1000 substitution. WPN combat-systems sustainment intentionally excluded from top-down (no Table-IV-equivalent exists in WPN P-40 exhibits); FPDS captures the WPN flow on combat-system PSCs (J012, J014, K010, K012) within Narrative A. Data as of April 2026.

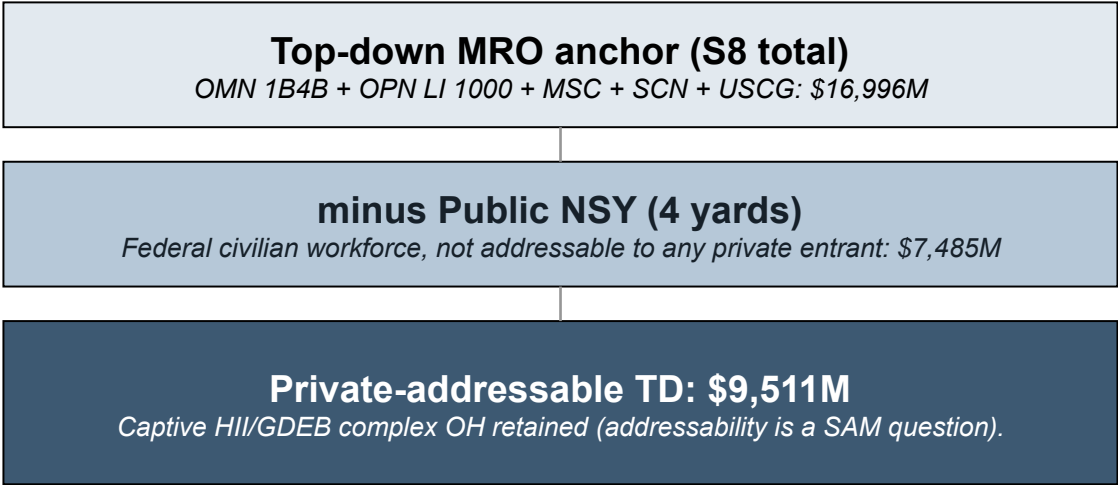


Private-Addressable Convergence | Stripping Public NSY labor from top-down (\$9.51B private) lands within ~6% of bottom-up FPDS (\$8.97B), converging at ~\$9 to \$10B

Narrative A: Bottom-Up (FPDS)



Narrative B: Top-Down (Budget Anchor)



Convergence: A = \$8,971M / B = \$9,511M / Delta = \$540M (~6%)
Within plus or minus 10% reconciliation target. Residual driven by RDT and E-DW Strategic Systems, AF/Army cross-service, and USCG-above-ISVS flows visible in BU FPDS but not in OP-5/MS/SCN/USCG top-down anchors.

Source: workbook_build Private Addressable sheet (corrected 2026-04-27); Reconciliation sheet TAS-attributed appropriation rollup. Captive HII/GDEB complex OH retained inside both numbers (captive treatment is an addressability filter that belongs in SAM derivation, Phase 2, not the TAM private-addressable layer). Data as of April 2026.

Fleet Structure | Marauder-like comp-set spans 14 hull programs across 3 mission-fit tiers and anchors the SAM vessel universe inside TAM

FY2025 Marauder-Like Comp-Set by Mission-Fit Tier (\$M)

Tier / mission fit	Hull programs	Role and Marauder fit	FY2025 \$M
Tier 1: Combat Logistics and MSC	T-AKE, T-AO, T-EPF, ESB, T-ESB, T-AK, T-AKR, T-ESD	Containerized logistics and at-sea payload hosting mirror Marauder's 180-foot ASV with 150MT modular deck. MSC-operated scheduled availabilities book under J998/J999.	\$715M
Tier 2: Amphibious connectors	LSM, T-LSM, LCU	Smaller connector hulls for contested-littoral payload delivery. Programs relatively early in cycle.	\$0M
Tier 3: USCG size-class	FRC, WPC, WLB	150-225 ft hulls parallel to Marauder in size and deck-cargo handling. WPC and WLB are the only USCG cutters with material FY2025 MRO spend.	\$43M
Comp-set total	14 hull programs across 3 tiers	Segment mix: Depot 82%, Port and Technical 14%, HM&E 4%, Combat/Electronics/Nuclear near 0%. See slide 11 for per-hull split.	\$758M

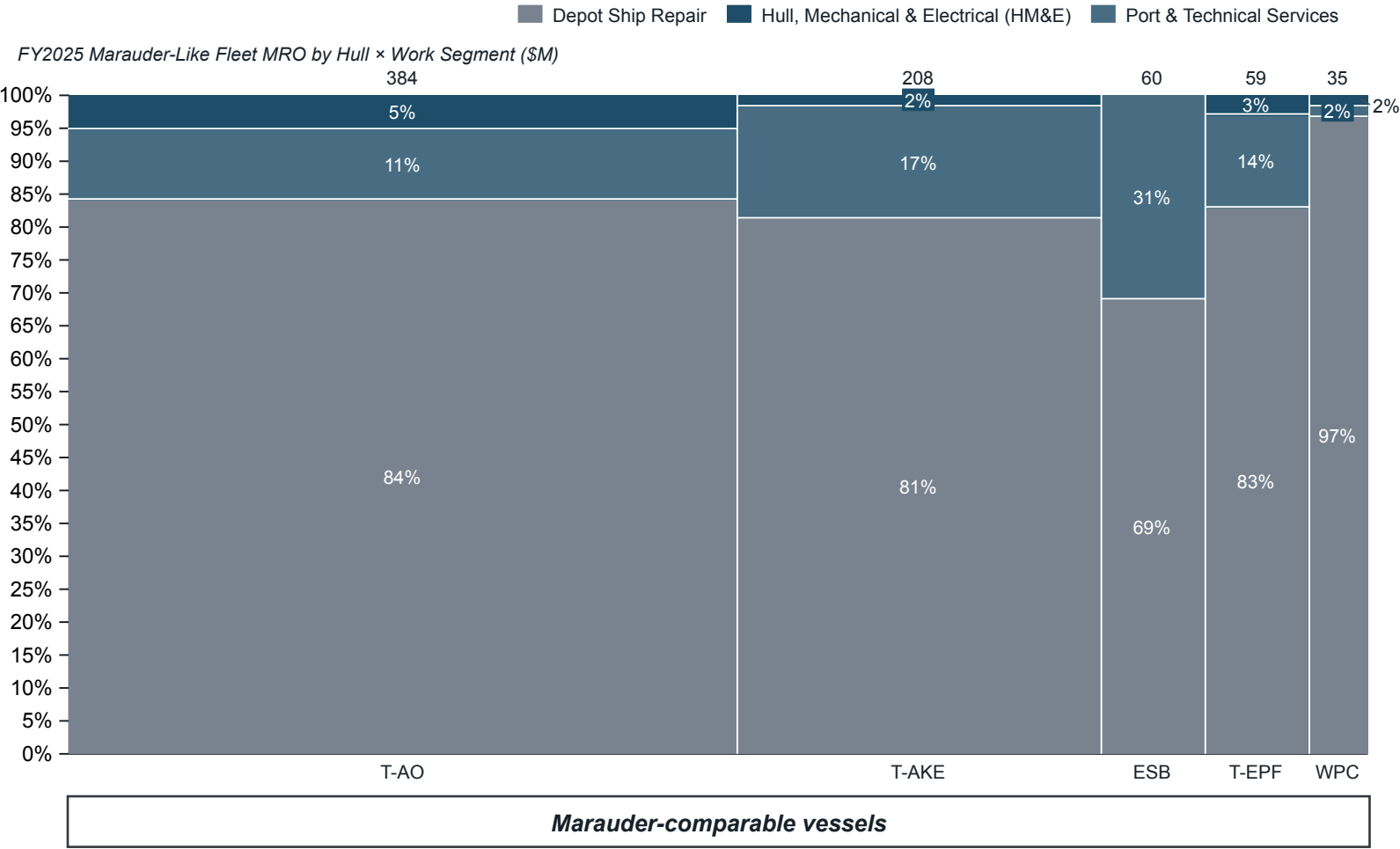
Hull inclusion criteria

- **Availability pipeline:** MSC scheduled ROH and mid-term availabilities at MSRA yards, not NAVSEA combatant overhauls.
- **Crewing:** Civilian mariners and commercial-style sustainment, parallel to Marauder's ASV concept.
- **Yard pool:** Pierside and MSRA yards, not the four public shipyards.

Note: Tier 2 FY2025 total is \$0M because LSM, T-LSM, and LCU programs are early in the procurement cycle and not yet material in obligations. Source: FPDS FY2025 contract obligations, MSC fleet disposition, USCG Cutter Fleet inventory, Marauder ASV design envelope. Data as of April 2026.



Marauder-Like Fleet MRO | Marauder comp-set MRO totals \$758M across six work segments, with 82% concentrated in depot ship repair and the rest in port and technical services



Primary MRO work types for Marauder-like vessels

- **Depot Ship Repair:** \$623M (82%). MSC ROH and mid-term availabilities at MSRA yards, booked under J998 / J999.
- **Port and Technical:** \$107M (14%). Husbanding, pierside tech reps, logistics support services.
- **HM&E:** \$28M (4%). Hull, mechanical, and electrical sustainment contracts outside the depot envelope.
- **Combat, Electronics, Nuclear:** Minimal. MSC and USCG hulls do not carry the combat system load or nuclear overhaul stream that DDG and SSN fleets do.

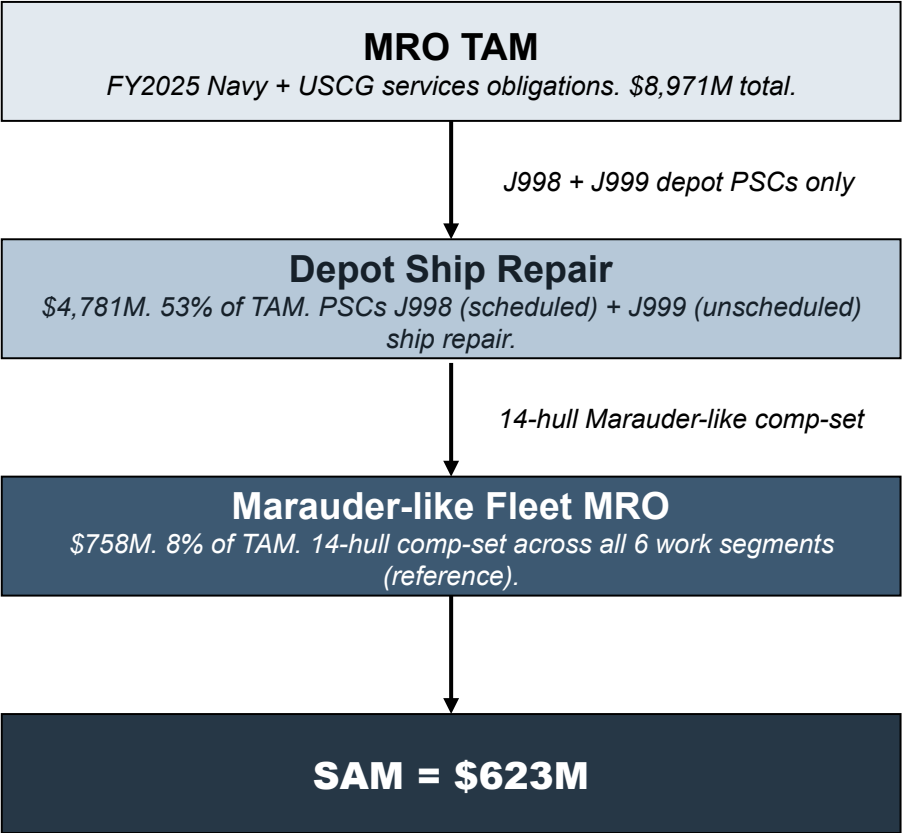
Hull concentration

- **T-AO oilers:** \$384M (51% of comp-set). Largest single hull program by far.
- **T-AKE dry cargo:** \$208M (27%). MSC Lewis and Clark class.
- **ESB and T-ESB:** \$64M combined (8%).
- **T-EPF expeditionary fast transport:** \$59M (8%).
- **WPC and WLB cutters:** \$43M combined (6%). Only USCG hulls with material FY2025 spend.

Note: Nuclear & Complex Overhauls column is blank because embedded MRO covers only CVN, SSN, SSBN, and surface-combatant programs, not MSC auxiliaries or USCG cutters. Source: FPDS FY2025 contract obligations. Data as of April 2026.



SAM Sizing | Intersecting the Marauder-like fleet with depot ship repair lands SAM at ~\$623M, ~7% of TAM and 82% of Marauder-like comp-set MRO



Note	Detail
SAM	Serviceable Addressable Market: depot ship repair spend on Marauder-type platforms, per the Definitions slide.
Comp-set	14 hull programs across 3 mission-fit tiers (slide 10). Combat logistics and MSC primary: T-EPF, T-AKE, T-AO, T-ESB, T-ESD. Amphibious connectors: LSM, LCU. USCG size-class: FRC, WPC, WLB.
Derivation	FY2025 FPDS contract obligations, filtered to depot PSCs (J998, J999) intersected with the 14-hull Marauder comp-set. 82% of comp-set MRO lands in depot because MSC auxiliaries book scheduled ROH and mid-term availabilities at MSRA yards under those PSCs.
Out of scope	Non-depot work on the comp-set (\$135M: HM&E, Port and Technical, Combat and Electronics and Nuclear). Depot work on non-comp-set hulls (\$4,158M: CVN, DDG, SSN/SSBN, and other combatants).

Note: SAM = Serviceable Addressable Market per Definitions slide — depot ship repair spend (PSCs J998 / J999) on Marauder-like hulls. Source: FPDS FY2025 contract obligations. Data as of April 2026.

Contract Vehicles & Qualifications | MSRA and MAC-MO carry ~84% of Navy depot MRO, with Coast Guard cutter repair on a separate USCG track

Navy and Coast Guard MRO Contract Vehicles

Vehicle	Qualification requirements	Typical POP / ceiling	Example awardees
MSRA <i>Master Ship Repair Agreement</i>	DFARS master agreement (not a contract). CNRMC application per location: ship-repair identity, on-site survey, DCMA financial capability review. Tier 1/2/3 by workload capacity (22,000 or 1,040 man-days).	~123-day notional (up to ~1 year actual). 5-year recert; DCMA annual reviews.	~11 private CONUS yards. Tier-1 primes (BAE, GD NASSCO, HII, Vigor, Detyens) anchor depot \$ share.
MAC-MO <i>Multiple-Award Contract, Maintenance and Overhaul</i>	Navy ship-maintenance strategy, not a standing qualification. Pre-qualified contractors compete per home port (SWRMC, MARMC, SERMC).	~5-year period. Firm-fixed-price delivery orders per availability.	MSRA-holders who win each home-port pool solicitation.
SeaPort-NxG <i>Navy Professional Support Services IDIQ</i>	Rolling Admissions qualification (current solicitation N00178-24-R-7000). Engineering, PM, technical services — not depot repair.	5-year POP. Timing tied to open admissions window.	Broad prime pool. Not a substitute for MSRA on shipyard MRO.
FedMall / GSA <i>Small-purchase and professional services</i>	FedMall is DLA's catalog portal (typically paired with LTA / BPA). GSA MAS and OASIS+ for catalog and professional services. Outside the depot MRO pipeline.	FedMall <\$250K small-purchase. GSA MAS 5-year option periods.	Broad vendor base. Typical use: OEM parts, husbanding, ancillary technical services.
USCG / SFLC <i>Coast Guard procurement via SAM</i>	Separate gate — not Navy MSRA. Coast Guard solicitation requirements, NAICS 336611. For drydock work: Std Spec 8634 facility certification + qualified Dockmaster.	Per-solicitation competition. Drydock certification submitted to the KO per facility.	CG-certified cutter repair yards. Dockside repair has lower gating than drydock.

Qualification paths

- **SAM / UEI registration:** Baseline for any federal bid; NAICS 336611 for ship repair.
- **MSRA (Navy gate):** DFARS master agreement, location-specific, Tier 1/2/3 by workload capacity. DCMA financial review; 5-year recertification.
- **MAC-MO home-port pool:** Win the regional competition (SWRMC, MARMC, SERMC) for FFP delivery orders on home-port availabilities.
- **Coast Guard MRO:** USCG SFLC direct solicitations on SAM. For drydock work, Std Spec 8634 facility certification and a qualified Dockmaster.
- **Adjacent channels:** SeaPort-NxG (pro services), FedMall (DLA catalog), GSA MAS and OASIS+ — not gates for depot or drydock MRO.

(1) ~84% of FY2025 Navy depot obligations (\$4.1B of \$4.9B) awarded to MSRA-holders under MAC-MO regional pools, priced as FFP delivery orders. Remaining ~16%: Trade IDIQ carve-outs, FDNF pierside (foreign MSRAs), SeaPort-NxG overflow, direct-award small services. (2) Coast Guard cutter MRO runs on a separate USCG / SFLC track; drydock work requires Std Spec 8634 facility certification. Source: FPDS FY2025 obligations; DFARS 217.71 (Master Agreements); GAO MAC-MO references; CNRMC MSRA instruction (2025); USCG Std Spec 8634. Data as of April 2026.